

25STCV10841 25STCV10841

County: los-angeles

Division: Civil Law and Motion

Department: 406

Hearing date: 2026-09-16

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C406%2C09%2F16%2F2026

Source SHA-256: 6e233f7652941e0314a5280de8f5c26f4935a33304938224e013bd9a302cca6e

Case Number: 25STCV10841 Hearing Date: September 16, 2026 Dept: 406

ARI BAER,

Plaintiff,

v.

SHOMER INSURANCE SERVICES, AN ALERA

GROUP AGENCY, LLC, et al.,

Defendants.

Case No.: 25STCV10841

Hearing Date: September 16, 2026

[TENTATIVE]

order RE:

plaintiff's motion for summary

adjudication

BACKGROUND

On April 11, 2025, Plaintiff Ari

Baer filed this action against Defendants Shomer Insurance Services, an Alera

Group Agency, LLC (Shomer); Alera Group Ultimate Holdings, LLC (Alera

Holdings); and Alera Group Holdings, Inc. (Alera Corp.) The complaint asserts

causes of action for (1) declaratory relief, (2) unfair business practices, and

(3) breach of contract. The dispute stems from the following allegations.

In May 2019, Plaintiff began his employment with Shomer, which was founded as part of an acquisition by Alera Corp. Alera Holdings owns or controls both Shomer and Alera Corp. Plaintiff terminated his employment at Shomer effective September 2024. Plaintiff alleges that his Employment Agreement with Shomer unlawfully restrains his ability to engage in a trade, business, or profession. Plaintiff also alleges that he acquired substantial equity in Alera Holdings as a result of his work at Shomer. Alera Holdings exercised its right under its Operating Agreement to purchase Plaintiff's equity. However, Alera Holdings allegedly failed to perform its obligations under the Operating Agreement by paying the contractual price of \$10.3 million.

Through this action, Plaintiff seeks a judicial declaration that the restrictive covenants and noncompete clauses in the Employment Agreement constitute an unlawful restraint of trade in violation of Business and Professions Code section 16600. Plaintiff further alleges that Defendants' attempts to enforce the covenants are acts of unfair competition in violation of Business and Professions Code section 17200. Lastly, Plaintiff seeks \$10.3 million for Defendants' breach of the equity purchase provisions of the Operating Agreement.

On January 7, 2026, the Court stayed the third cause of action due to an overlapping declaratory relief action in Delaware filed by Alera Holdings.

On June 15, 2026, Plaintiff filed the instant motion for summary adjudication of the first cause of action. Defendants filed an opposition on August 27, 2026. Plaintiff filed a reply on September 4, 2026.

EVIDENTIARY OBJECTIONS

Plaintiff's objections are overruled.

LEGAL STANDARD

The function of a motion for summary

judgment or adjudication is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) Code of Civil Procedure section 437c(c) "requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.)

"[T]he party

moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact." (Leyva v. Garcia (2018) 20 Cal.App.5th 1095, 1101.) To establish a triable issue of material fact, the party opposing the motion must produce "substantial responsive evidence." (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.) Courts "liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party." (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.)

DISCUSSION

I.

Plaintiff's Allegations

"Any person interested under a written instrument . . . or under a contract . . . may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties . . . arising under the instrument or contract." (Code Civ. Proc., § 1060.) A declaratory relief claim has "two essential elements: '(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.'" (Lee v. Silveira (2016) 6 Cal.App.5th 527, 546, quoting Brownfield v. Daniel Freeman Marina Hospital (1989) 208

Cal.App.3d 405, 410.)

Here, the complaint seeks

declaratory relief “as to the validity of the Restrictive Covenant Agreement and the Additional Noncompete Clauses.” (Compl. ¶ 22.) The Restrictive Covenant Agreement (hereinafter “Employment RCA”) is a part of the Employment Agreement and allegedly “contains both a ‘Non-Solicitation Clause’ (Section 2.1) and an expansive ‘Confidential Information Clause’ (Section 1), both of which restrict and restrain Plaintiff’s ability to engage in any insurance brokerage-related business for at least two years after the termination of his employment with Shomer.” (Id., ¶ 7.) The Additional Noncompete Clauses are defined in the complaint as “similar provisions relating to alleged ‘Confidential Information’ or ‘Non-Solicitation’ in one or more documents relating to the grant of bonus compensation or other aspects of Plaintiff’s relationship with Shomer or Alera Holdings.” (Id., ¶ 19.)

In the present motion, Plaintiff

challenges provisions in the May 2019 Employment RCA, an August 2021 Merger Letter, and June 2023 Unit Award Agreements.

II.

Mootness

On February 12, 2024, Defendants

notified Plaintiff in writing that “any provision in your Restrictive Covenant Agreement which, after termination of your employment, prohibits your solicitation of the Company’s clients, employees or contractors, to the extent that such solicitation does not involve acquisition, use, and/or disclosure of the Company’s trade secret and/or Confidential Information, is void.” (Marathas Decl., Ex. 1.)

On August 26, 2026, Defendants sent

another notice to Plaintiff confirming that “Alera irrevocably waives and disclaims any right to enforce against you, and covenants that it will not seek to enforce against you, any post-employment non-competition covenant, non-solicitation covenant, non-interference covenant, customer restriction, employee restriction, or business-partner restriction contained in the” Employment RCA and Unit Award Agreements. (Marathas Decl., Ex. 2.)

Defendants argue that because they

have expressly waived enforcement of the restrictive covenants in the Employment RCA and Unit Award Agreements, there is no present controversy for the Court to resolve. Defendants also point out that the restrictive provisions in the Merger Letter expired after five years, or on August 25, 2026, thus mooted any controversy over that instrument as well. (Marathas Decl. ¶ 16.)

However, the February 2024 notice states that “if you sold your business to Alera, any non-compete or other restrictive covenants you may have signed in connection with the sale of your business to Alera, including but not limited to those contained in a Purchase Agreement, are not impacted by this recent change in California law, and they remain in force through the restricted period stated therein.” (Marathas Decl., Ex. 1.) This is a reference to the exception enumerated in Business and Professions Code section 16601, which permits restrictive covenants in association with the sale of a business. Defendants contend that the challenged provisions fall under the section 16601 exception, effectively asserting that the provisions are enforceable. Accordingly, a present controversy exists over the enforceability of the challenged provisions.

The August 2026 notice does not compel a different result. The notice expressly states that “[n]othing in this letter shall be construed as . . . an admission that any challenged provision is invalid, unenforceable, or otherwise unlawful” and preserves “any claim or defense that Alera has asserted or may assert in the lawsuit currently pending against Mr. Baer in the Delaware Court of Chancery.” (Marathas Decl., Ex. 2.) Defendants allege in the Delaware action that they had no obligation to pay Plaintiff \$10 million for the equity purchase “[g]iven Baer’s breaches of . . . the restrictive covenants in his employment agreement.” (Plntf.’s RJN, Ex. A, ¶ 6.) Thus, Defendants have retained the right to assert, and have in fact asserted, the very provision being challenged by Plaintiff’s declaratory relief action. Accordingly, the declaratory relief claim is not moot.

The remaining issue is whether Plaintiff is entitled to declaratory relief in his favor as a matter of law.

III.

Entire Cause of Action

“A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an

affirmative defense, a claim for damages, or an issue of duty.” (Code Civ. Proc., § 437c(f)(1).)

Plaintiff’s complaint challenges

Section 2.1 and Section 1 of the Employment RCA, but the motion only addresses Section 2.1. Moreover, the motion challenges the 2021 Merger Letter as one of the “Additional Noncompete Clauses.” (See Compl. ¶¶ 19, 22.) However, Plaintiff does not dispute that the restrictive covenants in the Merger Letter expired by their own terms on August 25, 2026. Plaintiff does not articulate a present controversy over the Merger Letter. Lastly, for the reasons discussed below, there are also triable issues as to the validity of the Employment RCA. Therefore, the motion fails to dispose of the entire cause of action.

IV.

Business Exception

“Except as provided in this chapter, every contract by which anyone is restrained from engaging in a lawful profession, trade, or business of any kind is to that extent void.” (Bus. & Prof. Code, § 16600(a).) “This section shall be read broadly, in accordance with *Edwards v. Arthur Andersen LLP* (2008) 44 Cal.4th 937, to void the application of any noncompete agreement in an employment context, or any noncompete clause in an employment contract, no matter how narrowly tailored, that does not satisfy an exception in this chapter.” (Id., § 16600(b)(1).) One such exception permits agreements restricting the seller of a business “from carrying on a similar business within a specified geographic area in which the business so sold, or that of the business entity, division, or subsidiary has been carried on.” (Id., § 16601.)

Whether a restrictive covenant is valid

under section 16601 does not depend on the document in which the covenant appears. (*Hilb, Rogal & Hamilton Ins. Services v. Robb* (1995) 33 Cal.App.4th 1812, 1825-27.) Thus, a covenant may fall under the business sale exception even if it appears in an employment agreement rather than the merger agreement. (Ibid.) Where an employment agreement and a merger agreement are part of the same transaction, they should be read together. (Ibid.; Civ. Code, § 1642.)

Here, Section 2.1 of the Employment RCA provides that Plaintiff will not use Confidential Information to solicit, sell to,

provide services to, consult for, accept a broker of-record letter with respect to, or accept certain requests involving a Client or Active Prospective Client. (Plntf.'s Separate Stmt. of Undisputed Facts (UF) 16.) The RCA defines Confidential Information to include client identities and the identities of markets or companies from which insurance coverage, commitments, benefits, or services for clients are obtained. (UF 17.)

A reasonable trier of fact may find that this provision is a valid restrictive covenant under section 16601 because it is tailored to prevent the use of Confidential Information to solicit defined Clients. This is arguably designed to protect the goodwill of the business that Plaintiff sold to Defendants. (See also Marathas Decl. ¶ 6 [“the restrictive covenants in the Employment Agreement were aimed at protecting the goodwill purchased by Alera in 2019 in the event of Mr. Baer’s departure from Alera”].)

Plaintiff relies on *Fillpoint, LLC v. Maas* (2012) 208 Cal.App.4th 1170 for the proposition that a restrictive covenant which goes beyond protecting the goodwill of a business remains invalid under section 16600. In *Fillpoint*, the court found that a stock purchase agreement’s three-year covenant not to compete was sufficient to fulfill the purposes of section 16601. (Id. at p. 1182.) “In contrast, the employment agreement’s covenant not to compete was much broader” and “targeted an employee’s fundamental right to pursue his or her profession.” (Id. at p. 1183.) Thus, even reading the stock purchase agreement and employment agreement together, the court still found the restrictive covenants in the employment agreement to be invalid. (Id. at p. 1180.)

The challenged provision in *Fillpoint* is distinguishable from the one in this case. The provision in *Fillpoint* prevented the employee from “(1) making sales contacts or making actual sales to anyone who was Crave’s customer or potential customer during the two years preceding the termination of Maas’s employment, or assisting others in doing so; (2) working for or owning an interest in any business that was in the same business as, or would compete with, Crave; or (3) employing or soliciting for employment any of Crave’s employees or consultants.” (*Fillpoint*, supra, 208 Cal.App.4th at p. 1183.) Moreover, the employer conceded that “the two covenants not to compete were intended ‘to deal with the different damage Maas might do wearing the separate hats of major shareholder and key employee.’” (Ibid.) Thus, the restrictive covenant in the employment agreement was clearly not meant to protect the goodwill of the business which was sold.

By contrast, the Employment RCA is limited to the use of Confidential Information and does not outright prevent solicitation of clients. Nor does the Employment RCA prevent Plaintiff from working for or owning a competing business. A reasonable trier of fact may find that the provision is sufficiently tailored to the purposes of section 16601. Plaintiff contends that the Employment RCA's definition of "Confidential Information" is so broad that it effectively accomplishes the result prohibited in Fillpoint. (See UF 17 ["The Employment Agreement defines 'Confidential Information' to include client identities and the identities of markets or companies from which insurance coverage, commitments, benefits, or services for clients are obtained"].) However, a reasonable trier of fact may conclude otherwise. The definition is not so facially overbroad that the Court can find it illegal as a matter of law.

Moreover, unlike the employer in Fillpoint, Defendants here do not concede that the restrictive covenants in the Employment RCA and Asset Purchase Agreement serve different purposes. To the contrary, Defendants explain how the Employment RCA was intended to preserve the goodwill of the business Plaintiff sold. (See Marathas Decl. ¶¶ 6-7.) Ultimately, the evidence is sufficient to raise a triable issue over the validity of the Employment RCA.

Because triable issues exist regarding multiple contractual provisions challenged in the complaint and motion, summary adjudication is unwarranted.

CONCLUSION

Plaintiff's motion for summary adjudication is DENIED.